(15)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/36(CHE)2022 in CA(CAA)/127/CHE/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Of

PRATHEEP RADIODIAGNOSTICS INDIA PRIVATE LIMITED
Regd Office: 54, Brindavan Road,
Alagapuram,
Salem-636004

... Applicant / Transferor Company

And

RASTER IMAGES PRIVATE LIMITED
Regd Office: 54B, Vrindavan Fairlands,
Alagapuram,
Salem-636016.

... Applicant/ Transferee Company

*Order Pronounced on **29th November 2022***

CORAM

JUSTICE RAMALINGAM SUDHAKAR, Hon'ble PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Mr. Srinivasan, Advocate,

COMMON ORDER

***Per:* JUSTICE RAMALINGAM SUDHAKAR, Hon'ble PRESIDENT**

The hearing of this Company Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **PRATHEEP RADIODIAGNOSTICS INDIA PRIVATE LIMITED** (for brevity "Transferor Company ") with **RASTER IMAGES PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed at "**Page Nos. 82 to 104"** to the typed set filed along with the Petition.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Company and Transferee Company have filed the First Motion Application vide CA(CAA)/127/(CHE)/2021 seeking directions for dispensation of meeting of Equity Shareholders, Secured Creditors and Unsecured Trade Creditors of the Transferor Company and dispensation of meeting of Equity Shareholders and Unsecured Trade Creditors of the Transferee Company.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated **16.02.2022**, to dispense the meetings of Equity Shareholders, Secured Creditors and Unsecured Trade Creditors of the *Transferor Company* and dispensed the meetings of the Equity Shareholders, and Unsecured Trade Creditors of the *Transferee Company.* It was represented that there are '**NIL**' Secured Creditors in respect of the Transferee Company, thus the necessity of convening a meeting with reference to the same does not arise. Subsequently, the second motion petition was filed before this Tribunal by the petitioner companies on **24.02.2022** for sanction of the Scheme of Amalgamation by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would *inter alia* result in the following benefits;

i. The Transferor and Transferee Companies are closely held private limited companies.

ii. This Scheme (as defined hereinafter) to amalgamate the Transferor Company with the Transferee Company will optimize the synergies and reduce the cost of operations. The proposed amalgamation is in the best interest of all the stakeholders of both companies. The Amalgamation will lead to better and more economic control and optimum utilization of available financial resources.

iii. Both the Transferor and Transferee companies have common promoters, common shareholders and common directors, belonging to the same family, and also have identical nature of business.

iv. In this scenario, it would be of administrative convenience to have both the companies merged together, which will result in reduction of all statutory compliance costs as also reduction in administration costs. It is therefore considered that the merger of the transferor and transferee companies and resulting consolidated operations, will be in the interest of both the companies and their shareholders.

v. The amalgamation will not only result in consolidating and improving the internal systems, procedures and controls but will also bring greater management and operational efficiency due to integration of various similar functions being carried out by both the entities.

vi. The proposed amalgamation does not envisage any change in management as the Board of Directors of both companies are same and there is no change envisaged in the Board of Directors of Transferee Company post amalgamation.

vii. Both Transferor Company and Transferee Company intend that the amalgamation in accordance with this Scheme shall take effect from the Appointed Date (as defined hereinafter), but will be operative from the Effective Date (as defined hereinafter).

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated **16.02.2022** directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Central Government through Regional Director (Southern Region),Chennai (ii) ROC, Coimbatore (iii) Official Liquidator (iv) the Income Tax Department, and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in **"New Today", English (All India Edition)** and **"Makkal Kural" Tamil (Tamil Nadu Edition).**

5.1 The Ld. Counsel for the Applicant appeared and submitted that in IA/33/CHE/2022 vide order dated 27.04.2022 this tribunal has '**allowed**' the change of publication from *News Today (All India Edition)* to *Business Line (All India Edition)*. Pursuant to the same the Applicant has filed an AOS dated 17.05.2022 before this Tribunal from which it can be seen that paper publication has been effected in **Business Line (All India Edition)** on **30.04.2022**

and **Makkal Kural (Tamil Nadu Edition)** on **18.04.2022** and **21.04.2022.**

5.2 It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on **06.04.2022**, (ii) Registrar of Companies Coimbatore on **11.04.2022**, (iii) Official Liquidator on **06.04.2022** (iv) Income Tax Department on **12.04.2022**, and the proof of the same by way of affidavits have been enclosed with the typed set. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

6. STATUTORY AUTHORITIES

6.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Southern Region, Chennai to whom the notice was issued in the first motion itself, has filed his Report before this Tribunal on 28.07.2022 vide SR.No.4749 and has stated in Para 7 of the RD Report as per *Clause 3.26 of Part 3* of the Scheme provides for the protection of employees and all staff of the Transferor Company. All staff and employees of the Transferor Company, in service on the Effective Date, shall be deemed to have become staff and employees of the

Transferee Company, with effect from the Appointed Date or date of joining whichever is later, without any break in their service and other benefits.

6.1.2. It is further averred in para 8 of the RD Report that as per Clause 3.17 of Part 3 of the Scheme, the Transferee Company shall issue and allot to the Shareholders of Transferor Company 47 fully paid-up equity share of Rs. 100 each for every 21 fully paid-up equity shares of Rs. 100 each held by them in the Transferor Company, as consideration upon effectiveness of the Scheme of Amalgamation.

6.1.3 It is further averred in para 9 that Clause 3.17 of Part 3 of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of the Company shall be Rs. 60,00,000 divided into 60,000 equity shares of Rs. 100 each. Thus it is prayed in the RD Report

that the Transferee Company may be directed to remit the requisite stamp duty to the ROC.

6.1.4. It is further averred in para 11 of the RD Report that Clause 3.17 (d) Part 3 of the Scheme provides for dissolution of the Transferor company, without being wound up.

6.1.4. It is further observed that as per para 12 of the RD report wherein it has been stated that as per the Report of the RoC, Coimbatore, the Transferor Company and Transferee Company have filed their statutory returns up to 31.03.2021 and has reported that there are no prosecution / complaint/inspection or Investigation is pending against the Companies.

6.1.5. Thus, after examining the Scheme, except the observations made in para 9 of the RD Report, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

6.2. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on **31.05.2022** vide

SR.No.3361 has stated that they have appointed M/s N. Venkateshan, Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- According to the information and explanation provided by the management, and perusal of audit reports there are no contingent liabilities existing as on the date of the report.

- The Chartered Accountant made online verification of records of the Transferor Company maintained by Registrar of Companies, Coimbatore The Chartered Accountant have not come across any matters which the company has contravened the provisions of the Companies Act, 2013.

- Both the Transferor and Transferee Companies have common promoters, common shareholders and common directors, belonging to the same family, and also operating in the same field. Therefore, the amalgamation of the Transferor Company with the Transferee company will result in administrative convenience to have both the companies merged together, which will result in reduction of all statutory compliance costs and also reduction in administration costs and also improving the internal systems, procedures and controls. Such integration will also yield greater management and operational efficiency due to integration of various similar functions being carried out by both the entities. It is therefore considered that the merger of the Transferor and Transferee Companies and resulting consolidated operations will be in the interest of both the companies and their shareholders as this will ensure optimization of synergies,

optimum utilization of available financial resources and reduce the cost of operations.

6.2.1 Further in Para 5 of the OL report it was further submitted that on examination of the Books of Accounts related vouchers, other pertinent documents, Annual Reports, Statutory books and registers, the Chartered Accountant reports that in his opinion, the affairs of M/s. Pratheep Radiodiagnostics India Private Limited were not conducted in a manner which prejudicial to the interests of their members or their creditors or to the public, nor were there any transactions which in his opinion may attract the provisions of Sections 339/340 of the Companies Act, 2013.

6.2.2 From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **Rs. 50,000/- + *GST (Rupees Fifty Thousand Plus GST)*** to the Official Liquidator for the payment of fees payable

towards the Auditor who has investigated into the affairs of the Transferor Company.

6.3 OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. The Income Tax Department do not have any objection to the sanction of the Scheme.

6.4 Despite notice having been served and public notice issued in Business Line English (All India Edition) on 30.04.2022 and Makkal Kural (Tamil Nadu Edition) on 18.04.2022, there was no representation from the Department of Income Tax and this Tribunal in terms of Section 230(5) of the Companies Act, 2013 presumes that the Department of Income Tax does not have any objection to the sanction of the Scheme.

6.5 In Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi has made the following

observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutory dues from the transferor or transferee or any other person who is liable for payment of such tax dues, the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

7. VALUATION REPORT

7.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one **U V.SUJATHA** Registered Valuer dated 19.07.2021, wherein it has been recommended by the Independent Valuer that :

NAV PER SHARE OF TRANSFEROR COMPANY	**Rs.470 /-**

NAV PER SHARE OF TRANSFEREE COMPANY	Rs.210/-
SHARE EXCHANGE RATIO	2.2381

*The Transferee Company shall issue **47 Shares** for every **21 shares** held in the Transferor Company.*

8. ACCOUNTING TREATMENT

8.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed at Page 144 of the typed set filed along with the Application.

9. OBSERVATIONS OF THIS TRIBUNAL

9.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way

detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended at **Page Nos. 82 to 104** with the Company Petition as well as the prayer made therein.

9.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April 2021** as mentioned in clause 2.3 of Part-2 of the SCHEME itself.

(iv) The 'Effective date' shall be the last of the dates on which the certified copies of this order of sanctioning

the scheme is filled with ROC Chennai as mentioned in clause 2.5 of Part 2 of the SCHEME.

(v) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 3.17 of Part 3 the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vi) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(viii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Coimbatore and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(ix) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration

and on such certified copy being so delivered, the Transferor Company shall be dissolved without winding up and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to the said company shall be consolidated accordingly.

(x) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

11. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT

Vinita Varshini. K